

GROWING HUMAN CAPITAL

It's the matriarch who builds the family. She develops its human capital. This is the family's most valuable resource. A family with members who are capable of building and preserving wealth will always be able to rebuild if something goes wrong.

The Rothschild family was able to survive and grow its family wealth for 250 years. They survived numerous wars, religious/ethnic persecution, government seizures, plagues, famines—you name it. Over the years, various branches of the banking business failed. But there was always a Rothschild family member somewhere who could help the family.

Imagine if your wealth suddenly disappeared. Would your family members rally by your side to help rebuild the family fortune? Do your adult family members have what it takes to get it back? Do they have the skills or the qualities necessary to acquire the skills to start from scratch?

If the answer is no, you'll want to think carefully about how they could gain these skills. What lessons do they need to learn? Perhaps, if they're lucky, they won't need to be wealth creators. But if they lack even the potential to be wealth creators, they are unlikely to be able to preserve the family wealth for very long.

DEVELOPING YOUR FAMILY CULTURE

Successful families are those that develop their own family culture: a set of beliefs and a sense of mission, as well as a common narrative about who they are, where they came from, and what they are doing.

Without someone working on developing a strong sense of shared family culture, inheritance issues tend to become minefields and battlegrounds. Often, these battles can be traced to things that have nothing to do with money. They are "lack of culture" wars. They result from not having a shared sense of values and history.